# Chapter Thirty-Three

## Economic Capital Framework: Back to Square One

### *RBI Act Provides Only Rs 5 Crore as Capital*

Section 4 of the RBI Act is very short and straightforward. It says, ‘The Capital of the Bank shall be five crores of rupees.’ This section has remained unchanged since 1 January 1949, the date with effect from which the RBI was nationalized from a private company by the Reserve Bank of India (Transfer to Public Ownership) Act, 1948. Section 5, which provided for increase and reduction of share capital before RBI was nationalized, was repealed from the RBI Act in 1948.

The capital of RBI is Rs 5 crore and it cannot be increased or decreased. In the past seventy-two years, it has discharged all its obligations and run up a portfolio of assets of Rs 50 lakh crore. Evidently, capital has never been a constraint on the ability of RBI to carry out its functions.

### *Accumulated Capital of RBI*

RBI’s balance sheet for 2019–20 ending on 30 June 2020 correctly notes that its ‘Capital’ is Rs 5 crore. It has three other entries, which together with this capital, amount to total accumulated capital. First, the ‘Reserve Fund’ of Rs 6500 crore. Second, ‘Other Reserves’ of Rs 232 crore. And, finally, under a somewhat misleading heading, ‘Other Liabilities And Provisions’ of Rs 15,16,621 crore. All these added up make RBI’s capital, as on 30 June 2020, Rs 15,23,358 crore.

The Other Liabilities and Provisions section has 12 items (Schedule 3 of RBI Balance Sheet).